

MORNING DESK BRIEFING

Friday, 10 April 2026 — Global Macro & S&T

⚡ CPI DAY — HIGH VOLATILITY

⚠ March CPI prints at 8:30 ET this morning. Consensus: +0.9% MoM / +3.4–3.7% YoY. This is the session-defining event. Do NOT trade until the number is on the tape.

S&P 500

~6,782

Post-ceasefire
close

NASDAQ

~22,635

Pre-CPI hold

WTI CRUDE

~\$90–94

GS Q2 target
\$87

GOLD XAU

~\$4,672

GS yr-end
\$5,400

DXY

~98.76

Structurally
weak

FED FUNDS

3.50–3.75%

98.4% hold Apr 29

THE MORNING SQUAWK

CPI day ▼

Morning. Today is the day the tape gets its verdict on the Iran war's inflation damage. The March CPI — the first print to fully capture the oil shock from when Hormuz closed — drops at 8:30 ET. Everything you see in the pre-market means nothing until that number lands.

Here's the setup: Wednesday's ceasefire gift (+2.5% S&P in one session) bought the bulls momentum. But that momentum is now colliding headfirst with the inflation data that the ceasefire does *not* fix retroactively. March oil averaged \$100+ per barrel. Gasoline at the pump hit \$4/gallon. Those prices are already in the data — the ceasefire only matters for *April* CPI and beyond.

PAIN TRADE: The crowd is euphoric from Wednesday. They're long, unhedged, and staring down a 3.4–3.7% YoY headline print. A hot number here causes maximum pain — stops blown, vol repriced, carry trades unwound. The "ceasefire rally" becomes the "suckers' rally."

Goldman Sachs reset Q2 crude forecasts to \$87 WTI / \$90 Brent. University of Michigan sentiment follows at 9:00 AM — consensus 51.6, down from 53.3. Consumer confidence deteriorating. Next week: GS earnings Monday (Apr 13) — the Q1 investment banking

bellwether.

The question isn't whether CPI is hot. It's whether **core CPI** is hot. If headline rips but core holds at 0.2–0.3% MoM, the Fed can look through it. If core cracks above 0.4%, we're talking rate hike back on the table.

EQUITIES — SETUP & TRADE

Data-dependent ▼

S&P 500 closed at 6,782 Thursday — above both the 200-day MA (6,655) and the 50-day (6,771). That's technically constructive. But these levels were just recaptured in a 48-hour ceasefire rip. They haven't been *tested* as support yet. Today's CPI is that test.

Key levels:

Hard support **6,400**

200d MA support **6,655**

50d MA **6,771**

Current **~6,782**

Bull target **6,950–7,000**

GS downside (severe) **5,400**

BULL CASE — Cool Core CPI

Headline hot (energy-driven) but core holds at 0.2–0.3%. Market reads it as a "one-channel" shock. Relief rally continuation. S&P pushes toward 6,950. Tech and AI names lead. Rate cut expectations for H2 stay intact.

BEAR CASE — Hot Core CPI

Core breaks 0.4%+ MoM. Stagflation narrative fully repriced. Fed hike talk resurfaces. S&P breaks back below 200d MA at 6,655. Stop-hunt to 6,400. Vol spikes, carry unwinds, tech gets hammered worst. Goldman's 5,400 downside target enters the conversation.

RSI at 46 pre-data — room to move either direction. No overbought condition protecting you.

Earnings next week: **GS** on Monday Apr 13 sets the tone for financials and the M&A cycle. Q1 investment banking expected to be strong — M&A deals off to a record start, \$16.65B revenue estimate. A beat here is bullish for the broader market narrative.

THE TRADE

Do NOT be a hero pre-8:30 ET. Wait for the print. Post-CPI: cool core → buy 6,700 dip aggressively, target 6,950. Hot core → fade any bounce above 6,750, target 6,500. For event-driven positioning: S&P options strangle (buy both puts at 6,600 and calls at 6,950) captures either violent move. Vol is reasonably priced at VIX ~20.

THE COMMODITIES PIT

Oil fading, Gold coiled ▼

WTI / Brent: Goldman officially lowered Q2 forecasts to \$87 WTI / \$90 Brent from \$91 / \$99. The geopolitical risk premium is deflating fast. But the structural story is nuanced: ANZ notes the oil market shifted from surplus to deficit during the conflict. That doesn't reverse with a two-week truce. Physical flows through Hormuz are improving but partial — shipping, tanker insurance, and inventory refills take weeks. Goldman's severe upside scenario: ceasefire collapses + 2mbpd supply loss = Brent back to \$115 in Q4. That's your tail risk.

Gold: Consolidating \$4,500–\$4,700. Goldman reaffirmed \$5,400 year-end target despite March's 10%+ correction. The debasement trade, central bank buying (China 15 consecutive months), and stagflation hedge narrative keep the floor firm. Hot CPI today = gold bullish (stagflation confirmed). Cool CPI = gold softens near-term as rate cut hopes return and USD firms slightly.

WTI Q2 GS forecast **\$87**

Brent Q2 GS forecast **\$90**

Brent ceasefire break **\$115**

Gold support **\$4,500**

Gold GS yr-end **\$5,400**

THE TRADE

Short WTI on any spike to \$97–100 — ceasefire premium still being extracted. Long gold on hot CPI dips to \$4,500 with target \$5,000+. If CPI cool: wait for gold to test \$4,400–4,500 before adding. Structural bull thesis in gold remains intact regardless of CPI outcome — size accordingly.

FX DEALING ROOM

USD two-way risk ▼

DXY at 98.76 — the key binary today. Hot CPI = dollar bid (higher-for-longer narrative), DXY punches toward 101. Cool CPI = dollar softens, DXY slides toward 97.50. Watch the BISI zone at 98.50 as the inflection point — that's where algos are set up.

USD/JPY: Yen carry trade under surveillance. BOJ tightening + ceasefire risk-on pushed JPY weaker this week. Hot CPI reinforces USD/JPY higher near-term (yen carry profitable again). Cool CPI + rate cut expectations = yen strengthens, carry unwinds, vol spikes globally. Watch 150 as the line where BOJ intervention risk becomes real.

EM / USD-IDR: Ceasefire is a net tailwind for Indonesia — oil import relief. But hot CPI today

reverses that quickly. Stronger DXY = EM capital outflows. IDR and other EM currencies are long ceasefire + rate-cut thesis simultaneously. If both legs get kicked out today, the selling gets ugly fast.

Goldman structurally expects dollar to continue weakening in 2026 as demand for US assets diminishes — structural deficit (6.5% of GDP) is the anchor.

DXY bull trigger **101**

DXY bear target **97.50**

BISI zone **98.50**

Fed hold prob Apr 29 **98.4%**

THE TRADE

Pre-CPI: flat FX exposure. Post hot print → long DXY toward 101, short EM (IDR, BRL). Post cool print → short DXY toward 97.50, long EM selectively. USD/JPY: hot print = hold or add carry long; cool print = cut yen carry fast, vol spike risk is real.

TODAY'S CATALYSTS — MOVES THE TAPE

Maximum impact day ▼

08:30 ET — March CPI (THE number)

08:30 ET — March Core CPI (THE signal)

09:00 ET — UMich Consumer Sentiment (fcst 51.6)

09:00 ET — UMich Consumer Expectations

12:00 ET — Baker Hughes Rig Count

13:00 ET — Federal Budget Balance

Monday Apr 13 — Goldman Sachs Q1 Earnings

Monday Apr 13 — March Existing Home Sales

March CPI breakdown to watch: Headline consensus ranges from +3.1% to +3.7% YoY across banks. FactSet median: 3.4% YoY. XTech's model (below consensus): 3.2% YoY headline, 2.5% core. Gasoline alone expected to account for 0.5–0.6 percentage points of the monthly move — a 35% pump price surge in March. Shelter still sticky. Used vehicles turning slightly negative (deflationary offset).

SIGNAL TO WATCH: Core CPI MoM. 0.2% = relief. 0.3% = neutral. 0.4%+ = regime change.

The market has built its entire post-ceasefire rally on the premise that this is a "one-channel" energy shock. Core CPI confirms or destroys that thesis today.

UMich Sentiment at 9:00 ET: Consensus 51.6 vs prior 53.3 — deteriorating. If consumer confidence cracks further, it adds a demand-destruction narrative on top of the inflation shock. Stagflation confirmed.

Goldman Sachs Q1 earnings Monday: Expected \$16.65B revenue. M&A deal flow was strong in Q1 (best start since 2021). Watch for investment banking segment results as a bellwether for the entire financial sector. A beat = financials lead the market higher next week.

THE TRADE

The playbook for today is simple: wait, read, react. No pre-positioning into 8:30 ET without defined risk. Post-print reaction in the first 5 minutes is often a fake — let the dust settle 15–20 min before committing capital. Use the CPI-driven vol spike to sell options premium (iron condor on SPY if VIX rips above 25). Into Monday's GS earnings: buy GS if S&P holds 6,655 post-CPI — M&A tailwind + Basel III capital release = strong Q1 setup.